Day Trading Mastery

Module 2 Study Guide

Technical Analysis Deep Dive

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: Chart Types, Timeframes, and Trend Structure

In this lesson: Master Candlestick Reading; Top-Down Timeframe Alignment; Identify Structura

Key points

- Candlesticks reveal market sentiment @ "candlesticks reveal live buyer and seller sentiment"
- Top-down analysis aligns trend @ "4-hour level for trend, dropping to the 1-hour for structure"
- Structure defines risk limits @ "calculating risk against structural support protects your capital"

Examples from the lesson

- You are tuned into Day Trading Mastery, Module 2: Technical Analysis Deep Dive, and today we kick off Lesson 1: Chart Types, Timeframes, and Trend Structure.
- If you only glance at the intersection right in front of you, a clear hundred meters might trick you into thinking the entire highway is clear.
- We start by looking at three core chart types: line charts, bar charts, and Japanese candlesticks.
- Always start on a higher timeframe, such as the 4-hour or daily chart, to identify the overall market trend and major structural levels.
- Once you establish the primary direction, you drop down to an intermediate timeframe like the 1-hour chart to map out market structure, and finally use a lower timeframe like the 5-minute chart to time your precise entry.
- Imagine you open your trading platform and observe the 4-hour chart showing a strong macro uptrend moving upward toward TT$10,500.
- You wait patiently for a healthy market pullback, and price retraces down to a key structural support level at TT$10,200.
- Now you drop down to the 1-hour chart to analyze the immediate trend structure around this support zone.
- On this intermediate timeframe, price creates a clear higher low at TT$10,250, signaling that buyers are stepping back in to defend the level.
- Seeing this structural confirmation, you drop to the 5-minute timeframe to calculate your

risk and plan a disciplined trade entry.

- You execute a buy order right as price breaks resistance at TT$10,300, placing your protective stop-loss order just below the local swing low at TT$10,200.
- This sets your defined risk per contract at exactly TT$100.
- You then set your profit target at the key 4-hour resistance zone of TT$10,500, creating a potential gain of TT$200 per contract and establishing an excellent 2-to-1 reward-to-risk ratio.
- We learned how to use a top-down timeframe strategy—starting at the 4-hour level for trend, dropping to the 1-hour for structure, and using the 5-minute chart for execution.
- In our next lesson, Lesson 2: Indicators That Earn Their Place, we will discover how to combine moving averages and momentum oscillators with market structure to filter out fakeouts and confirm high-probability trade setups.

Lesson 2: Indicators That Earn Their Place

In this lesson: Moving Averages for Trend; RSI for Momentum Velocity; Volume for Institutiona

Key points

- Moving averages identify the primary trend and dynamic support
- RSI measures momentum velocity without giving premature reversal signals
- Volume confirms institutional capital commitment on every trade setup

Examples from the lesson

- We are inside Module 2, "Technical Analysis Deep Dive," and today we’re tackling Lesson 2: "Indicators That Earn Their Place."
- You don't need fifty gauges covering your windshield just to drive to Port of Spain.
- We categorize our primary tools into three distinct jobs: trend direction, momentum strength, and transaction volume.
- If two indicators tell you the exact same thing, one of them is taking up valuable real estate for nothing.
- First, let's talk about moving averages, specifically the 20-period and 200-period Exponential Moving Averages.
- The 20 EMA acts as your short-term dynamic support and resistance, showing you how fast price is moving away from its average.
- The 200 EMA gives you the big-picture trend baseline, showing whether buyers or sellers control the overall tide.
- When price sits comfortably above the 200 EMA, you only look for long trades, no matter how tempting a short pull-back appears.
- Standard settings use a 14-period lookback, where readings above 70 indicate overbought conditions and readings below 30 signal oversold conditions.
- Never short a stock just because RSI hits 75, because momentum is simply confirming buying aggressive strength.
- Imagine you are tracking a local tech stock trading around TT$ 50.00.

- You observe price pulling back gently toward its rising 20 EMA line at TT$ 48.50.
- The RSI cools down from an overbought 78 down to a balanced 42, showing price has digested the previous rally without breaking structural support.
- Price bounces right off the TT$ 48.50 EMA level on a bullish engulfing candle, accompanied by a surge to 150,000 shares traded versus the 50,000 average.
- You buy 1,000 shares at TT$ 49.00 for a total trade position of TT$ 49,000.00.
- You place your risk management stop-loss just below the moving average support at TT$ 47.50.
- If price breaks lower and hits your stop, your capital risk is TT$ 1.50 per share, which equals TT$ 1,500.00 total risk on the trade.
- You set your profit target at TT$ 52.00 near recent swing highs, offering a upside potential of TT$ 3.00 per share or TT$ 3,000.00 total profit.
- That creates a crisp 2-to-1 reward-to-risk ratio built on simple, un-cluttered indicator confluence.
- Keep your charts clean with a 20/200 EMA combination, a 14-period RSI, and clear volume bars so you can make fast, accurate decisions under pressure.
- Join me in our next lesson, "Lesson 3: Combining Signals Into a Read," where we will assemble these indicators into a unified trading strategy.

Lesson 3: Combining Signals Into a Read

In this lesson: Establish the Trend; Measure Momentum; Validate with Volume; Write the Final

Key points

Examples from the lesson

- I am your instructor, and welcome to "Day Trading Mastery", Module 2 "Technical Analysis Deep Dive", Lesson 3: "Combining Signals Into a Read".
- You do not just look at one maxi taxi and make a decision; you check the traffic flow, the weather, and the crowd at the stop.
- A robust market read requires alignment across three distinct dimensions: structural trend, momentum confirmation, and volume backing.
- Let's break down these three components step by step.
- If the 20-period moving average is sloping upward above the 50-period moving average, the underlying structure supports buying opportunities rather than short selling.
- Suppose you are analyzing a local index or stock contract with a account risk limit set at TT$ 2,000.
- Your entry setup triggers on a bullish breakout at TT$ 150 per share, with your technical stop loss placed firmly at TT$ 145.
- This price structure gives you a total risk per share of TT$ 5.
- Dividing your maximum risk allowance of TT$ 2,000 by the TT$ 5 risk per share yields a calculated position size of 400 shares.

- To maintain a disciplined 2-to-1 reward-to-risk ratio, your target profit distance must be TT$ 10 above entry, placing your profit target at TT$ 160 per share.
- Trend: 20-period moving average is sloping up at TT$ 148.
- Momentum: RSI sits healthy at 62 without divergence.
- Volume: Breakout bar volume expands 40 percent above the 20-day average.
- All three signals align, confirming the TT$ 4000 potential gross gain against TT$ 2000 risk.
- Writing down this three-point assessment before placing an order enforces professional discipline.

Recap checklist — can you say each one?

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Lesson 2: Indicators That Earn Their Place

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Lesson 3: Combining Signals Into a Read